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REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
 Commonwealth Avenue, Quezon City

ANNEX "KKKK"

OFFICE OF THE CHAIRPERSON
INTELLIGENCE AND CONFIDENTIAL FUNDS AUDIT OFFICE

AOM No. 2024-015

FEB 01 2024

AUDIT OBSERVATION MEMORANDUM

Vice President SARA Z. DUTERTE
 Secretary
 Department of Education

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Attention: **Mr. Edward D. Fajarda**
 Special Disbursing Officer (SDO)

Ms. Ma. Rhunna L. Catalan
 Chief Accountant

We have audited the Liquidation Reports (LRs) and the supporting documents submitted to this Office for the liquidations of the cash advances of **Mr. Edward D. Fajarda**, SDO for confidential expenses of that Agency for the period February 20 to June 29 of Calendar Year (CY) 2023, in the total amount of ₱75,000,000.00. Details are summarized as follows:

Liquidation					Cash Advance	
Period	LR No.	LR Date	Amount (₱)	Check No.	Check Date	Amount (₱)
Feb. 20 –	2023-03-	03/31/23	37,500,000.00	453	02/20/23	37,500,000.00
Mar. 30	30					
Apr. 20 –	2023-06-	06/30/23	<u>37,500,000.00</u>	964	04/19/23	<u>37,500,000.00</u>
June 29	30					
Total			<u>75,000,000.00</u>			<u>75,000,000.00</u>

We noted the following deficiencies explained as follows:

The propriety and validity of the transactions could not be ascertained as the submitted LR's were not fully supported with complete and proper documentations required under Joint Circular (JC) No. 2015-01 dated January 8, 2015 of the Commission on Audit, Department of Budget and Management, Department of Interior and Local Government, Governance Commission for GOCCs, and Department of National Defense

1. Item 4.12 of the JC requires that the disbursements from Confidential Fund (CF) shall be supported with documentary evidence of payment (DEP), among others, which shall be submitted to the Intelligence and Confidential Funds Audit Office (ICFAO) in a sealed envelope signed by the SDO.

Moreover, Item 6.2.3.3 of the same JC prescribes that the liquidation of cash advances for CF shall be supported by documentary evidence of payments (DEP) as required under item 4.12 of the JC.

Further, Annex B of the JC prescribes the format of the Certification of the Accountable Officer of the CF signed under oath, wherein item b of the said document certifies that the supporting documents in connection to the expenses incurred are attached to the liquidation of CF.

Finally, Annex C of the JC prescribing the template of the Accomplishment Report as indicated at the bottom of the template requires that evidence of payment for confidential expenses must be attached to the Accomplishment Report.

The submitted liquidation reports with their supporting documents lacked the DEPs as proof that the CF was disbursed in accordance with the provision of item 4.8 of the JC. Thus, Management is required to submit the DEPs as required in the above stated provisions of the JC.

2. Item 4.8 of the JC provides that CF shall be used only for the following confidential expenses:
 - a. Purchase of information necessary for the formulation and implementation of program, activities, and projects relevant to the national security and peace and order;
 - b. Rental of transport vehicle related to confidential activities;
 - c. Rentals and the incidental expenses related to the maintenance of safehouses;
 - d. Purchase or rental of supplies, materials and equipment for confidential operations that cannot be done through regular procedures without compromising the information gathering activity concerned;
 - e. Payment of rewards to informers (non-employee of concerned government agency) subject to the following conditions:
 - i. Approval by the HoA in the case of LGUs and NGAs and approval by the Chairman of the Board in case of GOCC.
 - ii. Supported with documents evidencing the success of the information gathering and/or surveillance activities on account of the information given by the informer; and
 - iii. Directly related to the conduct of the specific confidential activities of authorized agencies.
 - f. Uncover/Prevent illegal activities that pose a clear and present danger to agency personnel/property, or other facilities and resources under the agency protection, done in coordination with the appropriate law enforcement agencies; and
 - g. Others that may be authorized by the General Appropriations Act or other special law/s.

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The submitted Accomplishment Reports included the following activities, among others:

<u>Accomplishments (2023)</u>	<u>Feb. 20 to March 30 (P)</u>	<u>Apr. 20 to June 29 (P)</u>
a. Counter-Insurgency Program		
• Payment of Incentives or Travelling relative to the Confidential Operations	2,100,000.00	1,850,000.00
b. Abuse Prevention and Control Within Schools		
• Payment of Incentives or Travelling relative to the Confidential Operations	2,695,000.00	2,622,000.00
c. Anti-Illegal Activities Operations		
• Payment of Incentives or Travelling relative to the Confidential Operations	2,580,000.00	2,404,000.00
d. Anti-Extremism/terrorism Programs		
• Payment of Incentives or Travelling relative to the Confidential Operations	1,076,000.00	930,000.00
• Provision of Medical and Food Aid	<u>1,980,000.00</u>	<u>1,980,000.00</u>
Total	<u>10,431,000.00</u>	<u>9,786,000.00</u>

The above-enumerated expenses are not among the confidential expenses enumerated in item 4.8 of JC No. 2015-01, thus, the same should not be charged against the CF.

3. Item 4.8.5.b of the aforementioned JC provides that payment of rewards to informers (non-employee of concerned Agency) must be supported with documents evidencing the success of the information gathering and/or surveillance activities on account of the information given by the informer.

We noted that the payments of reward to the informers in the amount of ₱7,509,000.00 for the period February 20 to March 30, 2023 and ₱8,031,000.00 for the period April 20 to June 29, 2023, or a total amount of ₱15,540,000.00, as reflected in the respective Accomplishment Reports were not supported with required documents specified in the immediately preceding paragraph, thus, non-compliant with the JC.

4. Item 4.2 of the JC provides that all allocations for CF shall be supported with a Physical and Financial Plan (PFP) (Annex A of the JC) indicating the proposed amount allocated for each program, activity, and project, where disbursements pertaining to confidential expenses shall be based.

The submitted PFP contained activities pertaining to Programs, Activities and Projects of the Agency. However, the specific confidential activities where the disbursements pertaining to confidential expenses shall be based were not reflected. Thus, the PFP is not compliant with Item 4.2 of the JC.

5. Item 6.3.1.b of the JC provides that one of the responsibilities of the Head of the Agency (HoA) is to approve the cash advances for confidential fund. The disbursement vouchers (DVs) for the cash advances were not properly accomplished as they were approved by

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Ms. Annalyn M. Sevilla, Undersecretary for Finance, instead of the HoA or her authorized representative.

6. The DV for the cash advance granted on April 19, 2023 was not properly accomplished as its number and date were not provided. All prescribed forms and required documents should be properly and accurately accomplished.

We recommend that the officials concerned submit the required documents and the justifications with the supporting documents on the deficiencies noted. Further, we require Management to strictly comply with the requirements provided under JC No. 2015-01 dated January 8, 2015 in its succeeding transactions pertaining to confidential funds.

May we have your comments on the foregoing audit observations within fifteen (15) calendar days from receipt hereof.

In case of your failure to reply within the specified period above, our audit observations shall be deemed accepted and in case of failure to submit the required documents or information/justifications needed to reach an audit decision, a Notice of Suspension/Notice of Disallowance may be issued, as warranted, after a re-evaluation of available documents/information pursuant to item 8.4 of the Rules and Regulations on Settlement of Accounts.

[Redacted] person
[Redacted] S
Assistant Commissioner
Officer-in-Charge

Proof of Receipt of AOM:

Name/Designation	Date Received
Vice President Sara Z. Duterte	2-2-2024
Edward Fajarda, SDO	2-2-24
Chief Accountant	2-2-24
COA - ATL - Deped	Feb. 5, 2024

All of Department of Education

RCW/JMQ/RRS/NBP

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DAVIN [Redacted] CAY
Admin [Redacted] de VI

